DRN-3028208

The complaint

Mr O complains that Covea Insurance Plc avoided his motor policy (treated it like it never existed) and refused to pay his claim following a theft. Mr O also complains Covea have refused to pay for damage he says it caused when collecting and storing his car after it was recovered.

What happened

Mr O took out a motor policy with Covea over the phone. When his car was stolen, he called Covea to make a claim. During this call, Covea did an online driving licence check, and found two speeding tickets given in 2019 which Mr O hadn't declared.

Covea said he'd answered the question it asked about motoring convictions incorrectly. And it considered this to be a careless qualifying misrepresentation, which entitled it to treat Mr O's policy as though it never existed, meaning Covea wouldn't meet his claim. It explained if Mr O had declared these two motoring convictions, in addition to the one he did declare from 2016, then it wouldn't have been prepared to offer any cover. As it treated this as a careless misrepresentation, this meant it'd refund Mr O's premiums.

Mr O was also unhappy with damage he says was caused by Covea after his car had been recovered – basing this on a report saying the car was in a good condition with no reported damage when it was collected. But, later on, he was told there were around £4,000 worth of repairs that were needed.

On this point Covea said it'd looked at the report which said "no or minimal" damage, and spoken to a senior engineer, who concluded the damage listed was consistent with a theft claim, Covea added the senior engineer explained repairs of around £4,000 are "minimal" in insurance terms when the market value of the car is around £27,000. So, it didn't uphold this part of Mr O's complaint.

Mr O brought his complaint to us and our Investigator didn't think it should be upheld. They explained they thought Covea had acted fairly in treating Mr O's policy like it didn't exist and agreed with Covea's evidence that the damage appeared to be theft related.

Mr O doesn't agree with the Investigator and has asked for an Ombudsman's decision. He said he felt our Investigator hadn't considered any of the facts presented in his case.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Theft claim, and avoiding the policy

The relevant law in this case is The Consumer Insurance (Disclosure and Misrepresentation) Act 2012 (CIDRA). This requires consumers to take reasonable care not to make a misrepresentation when taking out a consumer insurance contract (a policy). The standard of care is that of a reasonable consumer.

And if a consumer fails to do this, the insurer has certain remedies provided the misrepresentation is - what CIDRA describes as – a qualifying misrepresentation. For it to be a qualifying misrepresentation the insurer has to show it would have offered the policy on different terms or not at all if the consumer hadn't made the misrepresentation.

CIDRA sets out a number of considerations for deciding whether the consumer failed to take reasonable care. And the remedy available to the insurer under CIDRA depends on whether the qualifying misrepresentation was deliberate or reckless, or careless.

Covea thinks Mr O failed to take reasonable care not to make a misrepresentation when he neglected to tell it about his two motoring convictions in 2019. It felt this was a careless misrepresentation.

Mr O said he told the broker about the convictions, so I've listened to the renewal call in 2020 which was Mr O's first opportunity to tell Covea about them. In this call, he's asked if anything's changed, and he says no nothing's changed. Given he had been given two motoring convictions for speeding, and had previously had one which he had declared, I think he should have known to declare them when renewing his policy.

Towards the end of the call Covea tell him they're going to post him out some documents including a statement of fact and ask him to check everything to make sure it's correct. A statement of fact records various pieces of information for Mr O. This did state Mr O's conviction from 2016 which he'd previously declared, but not the two in 2019. So, even if Mr O did tell Covea when he renewed his policy about these convictions, which as I've said above, I can't hear that he did, then he should have realised when checking the statement of fact that these hadn't been noted.

Taking all of that into account, I think Mr O failed to take reasonable care to disclose his two convictions from 2019.

Having established this, I need to consider whether Mr O's misrepresentation was a qualifying misrepresentation. What I mean by this is would Covea have done anything different, had Mr O told it about the convictions – if it wouldn't have done anything different, then Covea would need to meet Mr O's claim.

Covea have shown us its underwriting criteria. I can't share it as it's commercially sensitive, but it shows that had Mr O declared the two convictions then it wouldn't have offered him insurance at all.

This means I'm satisfied Mr O's misrepresentation was a qualifying one.

Covea has said Mr O's misrepresentation was careless. I've not seen anything to suggest Mr O was deliberately misleading Covea when taking out the policy, so I'm satisfied Covea's decision to treat Mr O's misrepresentation as careless is fair.

As I'm satisfied Mr O's misrepresentation should be treated as careless, I've looked at the actions Covea can take in accordance with CIDRA.

Covea have treated the policy as though it never existed, said they won't meet the claim Mr O made, and have refunded him his premiums.

These actions are in line with the remedies CIDRA allows Covea to take, and I think they're reasonable under the circumstances – as Covea wouldn't have insured Mr O if he'd declared the correct information.

Overall then, I think for the claim, and avoiding the policy, Covea have acted fairly and reasonably in how they've treated Mr O.

Damage to Mr O's car

Mr O has said when his car was initially collected, the report says his car had no damage – and that it was in good condition. Covea had collected Mr O's car, before realising it wouldn't be dealing with his claim. But after it was taken to his own repairer's they assessed around £4,000 worth of damage that needed to be paid for. Mr O felt this clearly showed Covea was responsible for further damage outside of the theft incident.

Covea's senior engineer said the damage Mr O's repairer had quoted was all consistent with a theft claim. In addition, the report said no or minimal damage – not "no damage" as Mr O had said – and they felt £4,000 worth of damage for a theft claim was minimal compared to the market value of £27,000. Covea added that a theft claim where this amount of repair costs relative to the car's value did show the car was in good condition. It didn't mean the car was in good condition generally, it meant the car was in good condition for one that had previously been stolen.

I can understand why Mr O would focus on the initial report and think Covea are responsible for some damage. It does say the car is in good condition without the context Covea have now added, and it does also say "no or minimal" damage – and, without context, £4,000 does seem like it's not really "minimal" damage.

I think it's important to explain firstly that the report Mr O has taken these comments from says "This report has been compiled following our image based inspection of this vehicle". That means they've based their comments on the photos provided, rather than a detailed physical inspection of the car.

These photos do suggest there isn't that much damage to the car – bar one smashed window. For a theft claim, I can see why the senior engineer for Covea would say that's minimal damage – often in theft claims cars may be fully burnt out, all windows smashed, tyres slashed / removed etc.

The report wasn't initially produced for Mr O's benefit so won't have necessarily considered factors important to him or be written with him in mind. It was produced for Covea to base their decision on how to treat the claim (before they'd decided to treat the policy as though it never existed) – and the report recommended Mr O's car be deemed a total loss. Covea have explained this is how it treats theft claims, as it can't know what other damage might have been done to the interior of the car without extensive, and costly, investigations.

I think this is supported by Mr O's repair quote. The most expensive item on the repair invoice is to supply and fit a telematics control box at nearly £700, and most of the items are interior related issues. The report Covea provided to Mr O wouldn't have picked that up, because it was based solely on the photos, and if it decided to pay the claim then it was looking to treat it as a total loss anyway – meaning it wouldn't need to catalogue all the damage, instead it'd just be looking at paying Mr O the market value of the car at the time of the theft.

Taking all of that into account, I'm satisfied Covea has provided reasonable explanations for why it's not responsible for the damage to Mr O's car – so I won't be requiring it to meet his costs.

My final decision

For the reasons set out above, I've decided not to uphold Mr O's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr O to accept or reject my decision before 11 November 2021.

Jon Pearce
Ombudsman